

Assignment-Regression Algorithm

Problem Statement or Requirement:

A client's requirement is, he wants to predict the insurance charges based on the several parameters. The Client has provided the dataset of the same.

As a data scientist, you must develop a model which will predict the insurance charges.

My Observations

As per the given Insurance data, insurance team maintained some parameter. And per client requirement as a Data scientist we should predict the insurance charges based on the given parameter like Age, Sex, BMI, Children and Smoker

Data Set Design

- 1) 4 Input and 1 output column
- 2) This data set has 2 nominal columns (Sex , Smoker) we have converted them into numerical

Model & Stage Identification

- 1) Machine learning
- 2) Supervised learning
- 3) Regression

We can create the model based on the given data as follows

- 1) Multi linear
 - 2) SVM
 - 3) Decision Tree
 - 4) Random Forest
- >> Based on the r^2 value we can identify the best model

Multilinear

R score = **0.789479034986701**

SVM

S.No	Kernel	Gamma	C Value	R2_Score
1	Linear	Scale /Auto	0.1	-0.080959968427891
2	Linear	Scale /Auto	10	0.462468414233968
3	Linear	Scale /Auto	100	0.6288792857320359
4	Linear	Scale /Auto	1000	0.7649311738608445
5	Linear	Scale	10000	0.7414230132360233

6	Linear	Auto	10000	0.7414230132360233
7	rbf	Scale /Auto	0.1	-.08907451521042731
8	rbf	Scale /Auto	10	-.03227329390671052
9	rbf	Scale /Auto	100	0.3200317832050831
10	rbf	Scale /Auto	1000	0.8102064851758545
11	rbf	Scale /Auto	10000	0.8779952401449916
12	poly	Scale /Auto	100	0.6179569624059795
13	Poly	Scale /Auto	1000	0.8566487675946551
14	poly	Scale /Auto	10000	0.8591715095262809
15	sigmoid	Scale /Auto	100	0.5276103546510407
16	sigmoid	Scale /Auto	1000	0.28747069486976695
17	sigmoid	Scale /Auto	10000	-34.151535978496256

Decision Tree

S.No	Kernal	Splitter	Max Depth	R2_Score
1	Squared_error	Best	2	0.8569635601474321
2	Squared_error	Best	3	0.8751026719462079
3	Squared_error	Best	10	0.7375712347796017
4	Squared_error	Random	2	0.7041115754202941
5	Squared_error	Random	3	0.7575845108606476
6	Squared_error	Random	100	0.7124388330253346
7	Friedman_mse	Best	3	0.8751026719462079
8	Friedman_mse	Best	10	0.7240704353591292
9	Friedman_mse	Best	100	0.6867103434196301
10	Friedman_mse	random	3	0.7936302813346694
11	Friedman_mse	random	10	0.8433387543865267
12	Friedman_mse	random	15	0.7218511913587462
13	Absolute_error	Best	2	0.8513874442378325
14	Absolute_error	Best	3	0.8679279967169236

15	Absolute_error	Best	10	0.7562741378648761
16	Absolute_error	random	3	0.770004914724915
17	Absolute_error	random	5	0.8792169198718444
18	Absolute_error	random	10	0.7944572706835437
19	Poisson	Best	2	0.8569635601474321
20	Poisson	Best	3	0.8778038152473475
21	Poisson	Best	10	0.7371714157688705
22	Poisson	random	2	0.7184451639595265
23	Poisson	random	3	0.8027484554650799
24	Poisson	random	10	0.8048049564556428

4. Random Forest

S.No	Criterion	N_estimator	Random_State	R2_Score
1	Squared_error	50	0	0.8498329315421834
2	Squared_error	100	0	0.8538307913484513
3	Squared_error	200	0	0.8524777475124578
4	absolute_error	10	0	0.835063555313752
5	absolute_error	50		0.8526655993519747
6	absolute_error	100	0	0.8520093621081837
7	Friedman_mse	10	0	0.8520093621081837
8	Friedman_mse	50	0	0.8500716139332296
9	Friedman_mse	100	0	0.8540518935149612
10	poisson	50	0	0.8491075958392151

11	poisson	100	0	0.8526334258892607
12	poisson	200	0	0.8523005268627799

Result: As per the above all regression execution with different parameters we can Go with Decision Tree is the best model. Because the R2 values is **0.8792169198718444** .

Even though SVM regression R2 values are high **0.8779952401449916** C value (100) parameter value is High